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ISBA 3305 - SDLE 10/2
Data Silos

Term or Concept	Definition	Example	Sources/Citations
Data Silos	A data silo is when one department keeps its data in its own system and nobody else can easily get to it. Sales has one database, the warehouse has another, finance has a spreadsheet, and none of them match up. The problem is each group ends up with its own version of the numbers, so people argue about which one is right instead of making decisions.	Kraft Heinz had plants all over the world tracking their supply chain in separate spreadsheets. In 2022 they partnered with Microsoft to pull everything into Azure and Power BI so plant managers could see the same live numbers. It helped them fill orders faster and find millions in shipping cost savings.	IBM. (2024). What are data silos? IBM. https://www.ibm.com/think/topics/data-silos Laudon, K. C., & Laudon, J. P. (2022). Management information systems: Managing the digital firm (17th ed.). Pearson. Microsoft. (2022, May 10). Kraft Heinz and Microsoft join forces to accelerate supply chain transformation. Microsoft News Center. https://news.microsoft.com/2022/05/10/kraft-heinz-and-microsoft-join-forces-to-accelerate-supply-chain-transformation/ Microsoft. (2024). What is Power BI? Microsoft Learn. https://learn.microsoft.com/en-us/power-bi/fundamentals/power-bi-overview

Essay:

I picked data silos because it is the one thing in this chapter I have actually seen happen. Every job I have had, somebody has a spreadsheet that is the real source of truth and everyone else is working off something slightly different. I did not know there was a name for it. A data silo is just when each department keeps its own data in its own place and the systems do not talk to each other. It does not sound like a big deal until two managers show up to a meeting with two different sales numbers and nobody can say which one is right.

Kraft Heinz is a good example of how bad it can get. They have more than 70 plants around the world, and for a long time each one tracked its supply chain in its own spreadsheets. Nobody could see the whole picture at once. In 2022 they partnered with Microsoft to load all of that into Azure and build Power BI dashboards on top of it. Now a plant manager can look at the same live numbers as someone at headquarters. They say it helped them fill orders faster and find millions of dollars in shipping costs they did not know they were wasting.

What stood out to me is that the fix was not really a technology problem. The data was already there. The hard part was getting everyone to agree on one place to put it and one definition for each number. That is what the chapter calls master data management, and it is more of a people problem than a software problem. I think that is why so many companies still deal with silos even though tools like Power BI have been around for years.